Weights are assigned to arrive at a realistic inflation rate. 46.19 per cent weight means if we take 177.77 points of price rise in CPI (IW), only 82.11 points (46.19 × 177.77/100 = 82.11) of price rise get increased in the budget of an industrial worker on account of primary products. It is because out of his total consumption he spends only 46.19 per cent on primary commodities.

The table 10.1 page gives the details of various price indices regarding base year, number of commodities included, frequency of publication, etc.

Table 10.1: Salient Features of Price Indices

S. No			CPI- UNME	CPI – IW	CPI – AL	CPI- (RL)	WPI
1.	Weights allocated on the basis of	Consumer Expenditure Survey					Wholesale Transactions
		First	1958–59	1958–59	1956–57	1983	
		Latest	1982–83	2001	1983	1983	
2.	Base year of the Current Series		1984–85	2001	1986–87	1986–87	2011–12
3.	Number of items/ commodities in basket		146–365	120–160	260	260	697
4.	Number of Centres / villages		59	76	600	600	8,331 quotations
5.	Time lag of the index		2 weeks[6]	1 month	3 weeks	3 weeks	3 weeks
6.	Frequency		Monthly	Monthly	Monthly	Monthly	Monthly

Source: Economic Survey 2006–07, 2016–17(Volume 2) and Ministry of Commerce and Industry, GoI

Wholesale Price Index (WPI)

This index measures the change in the price of commodities supplied to the wholesale market. It is based on the value of production adjusted for net imports. The price for